

CAMS Exam: Domain C Missing Content

25 Hard Questions Missing from Standard Materials

Based on 2024-2026 Candidate Feedback

Domain C: 30% of Exam — Risk Assessment Methodology, Board Minutes, CCO Independence, SAR Timelines, 314(a)/314(b), Recordkeeping, and More

Core Concept - Heavily Tested

Inherent risk = risk before controls. Residual risk = risk after controls.

Calculation Method:

- Inherent risk scored 0-100 (based on products, customers, geography, channels)
- Control effectiveness scored 0-3 (0=no control, 1=weak, 2=moderate, 3=strong)
- Residual risk = Inherent risk $\div$ Control effectiveness factor
- Or: Residual risk = Inherent risk - (Inherent risk multiply Control effectiveness percentage)

[SCENARIO] Bank calculates inherent risk for MSB customer = 80/100. Control effectiveness = 2.5/3. What is residual risk? **[TRAP]** Subtract control effectiveness from inherent risk: $80 - 2.5 = 77.5$ **[right]** Residual risk = Inherent risk $\div$ (Control effectiveness as factor). $80 \div 2.5 = 32$. Residual risk is significantly reduced by strong controls. **[!]** High inherent risk is acceptable if residual risk is within appetite.

Board-Approved Risk Appetite

Risk appetite defines acceptable residual risk levels.

Mandatory Components:

- Quantitative thresholds (e.g., maximum residual risk score of 40 for any relationship)
- Qualitative boundaries (e.g., no correspondent relationships with shell banks)
- Escalation triggers (e.g., any relationship exceeding appetite requires Board approval)
- Review frequency (at least annually)

[SCENARIO] Bank has no written risk appetite statement. CCO argues risk assessment alone is sufficient. **[TRAP]** Risk assessment replaces need for separate risk appetite statement. **[right]** Risk appetite statement is required. Board must define acceptable risk levels.

Risk is NOT Static

Customer risk ratings must be updated when trigger events occur.

Mandatory Reassessment Triggers:

- SAR filing on the customer
- Negative media or law enforcement inquiry
- Significant change in transaction volume or pattern
- Customer begins using new high-risk products
- Change in beneficial ownership
- Customer moves to/from high-risk jurisdiction
- Regulatory finding related to customer type
- Merger or acquisition involving customer

[SCENARIO] Bank reviews customer risk ratings annually only. Customer files SAR but rating remains unchanged for 11 months until annual review. **[TRAP]** Annual review is sufficient for all customers regardless of events. **[right]** SAR filing is a trigger requiring **IMMEDIATE** reassessment. **Cannot wait for annual review.**

What Regulators Expect in Minutes

Minutes must demonstrate meaningful oversight, not rubber-stamping.

Required Elements:

- Who attended (names and titles)
- Discussion summary (risks, metrics, challenges)
- Questions asked by Board members
- Management responses
- Any dissents or concerns
- Vote results (unanimous or otherwise)
- Specific approval of AML policy (not just general)
- Date of next AML review

[SCENARIO] Board minutes state: AML policy approved unanimously. No other text. CCO argues approval is valid. **[TRAP]** Verbal approval with minutes entry is sufficient regardless of detail. **[right]** Minutes must show evidence of meaningful discussion. One-line entry suggests rubber-stamping and is a regulatory deficiency.

[SCENARIO] Regulator reviews Board minutes for past 3 years. Each quarter: AML policy reviewed and approved. No mention of SAR volumes, backlog, audit findings, or regulatory changes. No questions from Board recorded. **What the Exam Tests:** Insufficient Board

oversight. **Analysis:**

- ① Repetitive one-line approval suggests lack of engagement
- ② No discussion of metrics = no oversight
- ③ Board cannot approve policy without understanding risks
- ④ Regulator will find governance deficiency

[TRAP] Minutes show approval occurred, which satisfies regulatory requirements. [right]
Minutes must document substantive discussion. Lack of detail is evidence of Board non-engagement.

CCO Cannot Report to Revenue Functions

The BSA Officer must have direct Board access without filtering.

Acceptable Reporting Lines:

- Direct to Board of Directors
- Direct to Audit Committee of the Board
- Administrative reporting to CEO (but with direct Board access)

UNACCEPTABLE Reporting Lines:

- Reporting to Head of Retail Banking (revenue)
- Reporting to Head of International Banking (revenue)
- Reporting to Chief Financial Officer (may have revenue conflicts)
- Any line where CCO's budget is controlled by business lines

[!] If CCO can be overridden by business lines for commercial reasons, CCO lacks required independence.

[SCENARIO] CCO reports to Head of Corporate Banking. Head instructs CCO to delay SAR filing on \$100M revenue client. CCO objects but Head says: I'm your boss, do it. CCO delays filing. **What the Exam Tests:** CCO reporting line independence. **Analysis:**

- ❶ CCO should report to Board or Audit Committee, not revenue function
- ❷ Head of Corporate Banking has inherent revenue conflict
- ❸ Delaying SAR for commercial reasons is violation
- ❹ CCO should escalate to Board/regulator despite reporting line

[TRAP] CCO followed management direction; no personal violation. [right] CCO has independent regulatory obligation. Reporting line does not excuse violation. CCO must file SAR regardless of management instruction.

Under-Resourcing is NOT a Defense

Regulators will cite inadequate resources as a violation.

Evidence of Resource Inadequacy:

- Persistent backlog of uninvestigated alerts (>30 days aging)
- High analyst turnover (burnout, underpaid)
- Manual processes for high-volume tasks
- Delayed SAR filings due to insufficient reviewers
- Board rejects reasonable budget requests from CCO
- Staff lack required qualifications

[SCENARIO] Bank has 40,000 alert backlog. CCO requested 10 additional analysts. Board approved 2. CCO argues insufficient resources caused backlog. **[TRAP]** Board controls budget; CCO cannot be held responsible. **[right]** CCO must document resource requests and escalate. Bank remains responsible for backlog. Regulator will cite inadequate resources.

SAR Deadline Depends on Suspect Identification

Different deadlines apply based on whether suspect is identified.

Situation	Deadline
Suspect identified	30 calendar days from suspicion
Suspect NOT identified	60 calendar days from suspicion

Key Points:

- Clock starts when suspicion is reached, not when investigation is complete
- Do NOT delay filing to identify suspect
- File by day 30 if suspect known, day 60 if unknown
- If suspect identified after filing, no need to amend

[SCENARIO] Analyst reaches suspicion on Day 1 but cannot identify suspect. Suspect identified on Day 45. When must SAR be filed? **[TRAP]** SAR must be filed within 30 days of suspect identification (Day 75). **[right]** SAR must be filed within 60 days of suspicion (Day 60). Suspect identification does NOT restart clock.

Currency Transaction Report Deadline

CTR must be filed within 15 days of the reportable transaction.

Key Rules:

- Single transaction exceeding \$10,000 in cash
- Multiple related transactions exceeding \$10,000 on same business day
- Aggregation required for same customer on same day
- Filed with FinCEN via BSA E-Filing system

[SCENARIO] Customer makes \$9,500 cash deposit at Branch A and \$9,500 cash deposit at Branch B on same day. Each branch files CTR? **[TRAP]** Each branch files separate CTR for \$9,500 (below threshold). **[right]** Bank must aggregate related transactions. Combined \$19,000 exceeds threshold. Single CTR required.

FinCEN 314(a) - Mandatory Law Enforcement Requests

Financial institutions **MUST** respond within 14 business days.

314(a) Process:

- 1 FinCEN issues request with subject names
- 2 Institution searches accounts and transactions
- 3 Positive matches reported within 14 business days
- 4 Negative responses NOT required (but best practice)
- 5 Maintain confidentiality - cannot notify customer

[SCENARIO] Bank receives 314(a) request on Friday. Compliance manager says: We have 14 calendar days, so due in 2 weeks. **[TRAP]** 14 calendar days from receipt is correct. **[right]** 314(a) deadline is 14 BUSINESS days, not calendar days. Weekends and holidays excluded.

Foreign Bank Account Report (FBAR)

US persons with foreign accounts exceeding \$10,000 aggregate must file FBAR.

Deadlines:

- Annual filing due April 15
- Automatic extension to October 15 (no form required)
- No further extensions available
- Electronic filing only (FinCEN Form 114)

[SCENARIO] US citizen has \$15,000 in foreign account. Misses April 15 deadline. Files on May 1. **[TRAP]** Late filing is acceptable as long as filed within 6 months. **[right]** FBAR has automatic extension to October 15. May 1 filing is acceptable but late. No penalty for reasonable cause.

FinCEN Can Designate Foreign Institutions

Three escalating levels of special measures.

Level 1 - Special Due Diligence:

- Enhanced recordkeeping
- Additional reporting requirements
- Information collection

Level 2 - Enhanced Due Diligence:

- Identify beneficial owners
- Monitor transactions
- Restrict account types

Level 3 - Prohibition:

- U.S. banks cannot open or maintain correspondent accounts
- Existing accounts must be closed

[!] Section 311 applies to FOREIGN institutions, not U.S. banks directly.

Definition of Shell Bank

A bank with NO physical presence in any country and NOT affiliated with a regulated financial institution.

Absolute Prohibition:

- U.S. banks CANNOT maintain correspondent accounts for foreign shell banks
- NO exceptions - not for any reason
- Violation results in penalties and potential termination orders

NOT a Shell Bank:

- Bank with physical office and staff in home country
- Bank affiliated with regulated depository institution
- Bank with license and physical presence

[SCENARIO] U.S. bank discovers respondent bank has no physical office, operates from shared workspace, no employees. [TRAP] Bank has license, so not a shell bank. [right] NO physical presence + NOT affiliated = shell bank. Account must be terminated immediately.

Records Must Be Available in US

Foreign banks with correspondent accounts must maintain records in US or designate agent.

Key Requirements:

- Foreign bank must designate agent for service of process in US
- Must maintain records related to correspondent account
- Records must be produced within specified timeframe
- Failure to produce = grounds for account termination
- Funds may be subject to forfeiture

[SCENARIO] US subpoena requests records from foreign respondent bank. Foreign bank refuses. [TRAP] US bank has no obligation since foreign bank is separate entity. [right] US bank may be required to terminate correspondent relationship. Funds in account may be seized under 319(a).

Two Different Information Sharing Mechanisms

Both serve different purposes with different requirements.

Feature	314(a)	314(b)
Direction	LE to FI	FI to FI
Voluntary?	MANDATORY	Voluntary (opt-in)
Trigger	FinCEN request	Institution initiative
Response deadline	14 business days	N/A
Safe harbor	Yes	Yes
Tipping-off?	Cannot notify	Not tipping-off

[!] 314(a) is MANDATORY. 314(b) is VOLUNTARY but requires opt-in.

Must File Notice Before Sharing

Institution cannot share 314(b) information without opt-in.

Opt-In Process:

- 1 File FinCEN Form 101 (one-time)
- 2 Designate points of contact
- 3 Maintain confidentiality of shared information
- 4 Can share with other opted-in institutions only
- 5 Retroactive sharing NOT permitted

[SCENARIO] Bank never filed 314(b) opt-in. Shares SAR information with another bank to investigate common customer. **[TRAP]** Sharing SAR information is permitted under safe harbor regardless of opt-in. **[right]** 314(b) opt-in is REQUIRED before sharing. Sharing without opt-in violates tipping-off prohibition.

Permissible Information Sharing

Only information related to suspected ML/TF activity.

Can Share:

- Suspicious transaction patterns
- Identities of suspected persons or entities
- Account information (with safeguards)
- SARs (with other opted-in institutions)
- Typologies and red flags

Cannot Share:

- Information for non-AML purposes (marketing, competitive intelligence)
- With institutions not opted into 314(b)
- With public or media
- With customers or subjects of investigation
- Confidential customer information unrelated to suspicion

[!] 314(b) sharing is NOT a license to share all customer information. Must be suspicion-based.

Due Diligence BEFORE Contract Signing

Cannot outsource AML functions without proper vendor vetting.

Required Pre-Engagement Diligence:

- Vendor background and reputation checks
- Financial stability review
- Vendor's own AML program assessment
- Data security and breach history
- Subcontractor relationships
- References from other bank clients
- Regulatory enforcement history
- Business continuity and disaster recovery
- Right-to-audit provisions

[SCENARIO] Bank signs contract with AML monitoring vendor. Conducts due diligence 6 months **AFTER** implementation. **[TRAP]** Due diligence can be performed post-implementation as long as vendor is reputable. **[right]** Due diligence **MUST** be performed **BEFORE** contract execution. Post-implementation diligence is a violation.

Due Diligence is NOT One-Time

Ongoing monitoring required for all AML vendors.

Ongoing Oversight Requirements:

- Annual vendor risk reassessment
- Service level agreement monitoring (uptime, accuracy)
- Regular performance reviews
- Periodic on-site audits (frequency based on risk)
- Vendor security assessment updates
- Subcontractor change notification and approval
- Escalation procedures for vendor failures

[SCENARIO] Bank conducted vendor due diligence at onboarding 5 years ago. No reviews since. Vendor performance degraded. **[TRAP]** Initial due diligence is sufficient; vendor responsible for performance. **[right]** Ongoing vendor oversight is required. 5 years without review is material deficiency.

Bank Must Have Access to Vendor Controls

Right-to-audit clauses enable verification of vendor compliance.

What Right-to-Audit Must Include:

- On-site audit access (not just remote)
- Access to vendor's AML controls and testing results
- Access to vendor's subcontractor information
- Review of vendor's audit reports
- Copy of vendor's independent testing results
- Access to vendor's employee training records
- Right to bring third-party auditors

[SCENARIO] Vendor contract states: Bank may request audit results at vendor's discretion. Vendor refuses bank's audit request. **[TRAP]** Bank can rely on vendor's internal audit results. **[right]** Right-to-audit must be contractual and enforceable. Vendor discretion clause is insufficient.

Independence is About the PERSON, Not the Firm

External firm does NOT guarantee independence.

Acceptable Testers	NOT Acceptable Testers
Internal Audit (if independent)	Compliance testing itself
External Audit Firm	Audit that designed controls
Third-Party Consultant	Former compliance staff (≥2 years separation)
Independent consultant	Business line employees
No prior involvement	Vendors who built the system
New audit team members	CCO's direct reports

[!] Previous employment in compliance creates independence gap. Minimum separation period typically 1-2 years.

Testing Must Validate OPERATIONAL Effectiveness

Policies on paper are insufficient; must test actual operation.

Design Testing (Insufficient Alone):

- Review policies and procedures
- Confirm documentation exists
- Verify Board approval

Operational Testing (Required):

- Test thresholds using historical SARs (back-testing)
- Calculate false negative rate
- Review sample of closed alerts for quality
- Test actual response times
- Validate data completeness (reconciliation)
- Observe employee behavior

[SCENARIO] Audit reviews AML policies, confirms Board approval, and checks that training records exist. No transaction testing performed. [TRAP] Policy review plus training review is sufficient for independent testing. [right] Operational testing is REQUIRED. Policy-only testing is insufficient.

Findings Must Be Tracked to Closure

Unremediated findings are ongoing deficiencies.

Remediation Requirements:

- Written remediation plan for each finding
- Responsible party and due date
- Regular status updates to management
- Validation testing after remediation
- Board reporting for material findings
- Tracking system for open findings

[SCENARIO] Audit finds 14 deficiencies. Bank remediates 12. Audit closes all findings because 12 are fixed. **[TRAP]** Findings are closed when remediation plan is complete. **[right]** Each finding must be individually remediated AND validated. Cannot close findings until all are fixed.

Five Years From SPECIFIC Dates

Different records have different retention start dates.

Record Type	5 Years From
Account opening records	Account closing date
Transaction records	Transaction date
SAR filing	SAR filing date
CTR filing	CTR filing date
Investigation records (no SAR)	Investigation completion date
Training records	Training completion date
Audit reports	Report issuance date
Board minutes	Meeting date (permanent)

[SCENARIO] Customer closes account. Bank deletes KYC records after 5 years from account opening. **[TRAP]** 5 years from account opening meets requirement. **[right]** 5 years from ACCOUNT CLOSING, not opening. Deletion at 5 years from opening is premature violation.

Subpoena Triggers Legal Hold

Normal record destruction must be suspended upon subpoena receipt.

Legal Hold Requirements:

- Identify all relevant records
- Notify all departments (compliance, IT, records management)
- Suspend any scheduled destruction
- Preserve records in original format
- Maintain chain of custody
- Document legal hold implementation
- Release only after authorized by legal counsel

[SCENARIO] Bank receives subpoena for customer records. Automated system deletes records 3 days later under normal retention policy. **[TRAP]** Bank had no obligation to preserve since subpoena didn't specify retention. **[right]** Legal hold is automatic upon subpoena receipt. Automated deletion after subpoena is spoliation.

Different Decisions Require Different Approvals

Escalation level depends on decision type and risk level.

Decision	Approval Required
Close alert as false positive	Analyst + supervisor
File SAR	Analyst + supervisor
Maintain high-risk relationship	CCO + senior management
Offboard customer	Compliance committee + senior management
Material policy change	Board of Directors
Risk appetite change	Board of Directors
Terminate correspondent relationship	CCO + senior management

[!] CCO alone cannot approve material policy changes. Board approval required.

Keep Open Requests Must Be Documented

Bank should generally comply with written LE requests.

Protocol for Keep Open Requests:

- 1 Obtain request IN WRITING from law enforcement
- 2 Document request details (date, agency, officer)
- 3 Obtain senior management approval to continue
- 4 Maintain heightened monitoring during extension
- 5 Do NOT disclose request to customer
- 6 Document decision to keep open or close
- 7 Coordinate closure timing with LE

[SCENARIO] FBI agent orally asks bank to keep account open. Bank complies. No written documentation. **[TRAP]** Oral request is sufficient; documentation is administrative. **[right]** Keep open requests must be IN WRITING. Bank should request written confirmation before agreeing.

Cannot Withhold Customer Funds

Even when offboarding for AML reasons, customer funds must be returned.

Funds Return Requirements:

- Return funds promptly after account closure
- Provide check or wire to verified account
- Cannot delay return as penalty
- Cannot condition return on customer signing waiver
- Cannot donate unclaimed funds to charity
- Escheat unclaimed funds to state after required period

[SCENARIO] Bank closes account for money laundering suspicion. Withholds \$50,000 balance pending investigation. 6 months later, still holding funds. **[TRAP]** Bank can hold funds indefinitely while investigating. **[right]** Bank must return funds promptly unless LE requests freeze. Withholding without legal authority is conversion.

Certain Convictions Prohibit Employment

Persons convicted of money laundering or dishonesty crimes may be prohibited.

Section 19 of FDI Act (US):

- Persons convicted of crimes involving dishonesty, breach of trust, or money laundering
- Cannot become institution-affiliated parties without prior written consent of FDIC
- Applies to directors, officers, employees, agents
- Consent required even after sentence completion

[SCENARIO] Bank hires individual convicted of fraud 8 years ago. No FDIC consent obtained. [TRAP] Conviction over 5 years old; no consent required. [right] Section 19 applies regardless of conviction age. FDIC consent required unless de minimis exception applies.

Employees Committing Fraud Avoid Vacation

Mandatory vacation is a PROVEN fraud detection control.

Why It Works:

- Employee must take consecutive days off (5-10 business days)
- Substitute performs duties during absence
- Substitute may discover irregularities
- Employee cannot conceal ongoing fraud while absent
- Common for wire processors, account openers, override approvers

Red Flags Related to Vacation:

- Employee never takes vacation
- Employee cancels vacation last minute repeatedly
- Employee works during vacation
- Employee refuses to provide passwords
- Employee becomes anxious when vacation discussed

[!] Employees who never take vacation should be subject to enhanced scrutiny.

QA Sample Must Be Representative

Sample size must be sufficient to detect issues.

Sampling Requirements:

- Minimum 5-10 percent of total alerts (higher for high-risk areas)
- Random sampling (not cherry-picked)
- Targeted sampling (high-risk scenarios, specific analysts)
- Sufficient volume to detect 5% error rate with confidence
- Document sampling methodology
- Adjust sample size based on findings

[SCENARIO] Bank reviews 2% of 50,000 alerts annually. No issues found. QA program deemed effective. **[TRAP]** No issues found proves QA is effective. **[right]** 2% sample may be insufficient to detect issues. Sample size must be statistically valid. Regulator may require larger sample.

Some Variation Expected; Extreme Variation is Problem

Controls needed when variation exceeds acceptable range.

Acceptable Variation:

- 5-10% difference between analysts on similar caseloads
- Based on legitimate judgment differences
- Documented in case files

Unacceptable Variation (Requires Action):

- 30%+ difference between analysts
- Same scenario, different conclusions
- One analyst closes 95%, another escalates 70%
- Variation correlated with analyst tenure or workload

[!] Track analyst-level metrics. Wide variation indicates need for calibration.

Data Quality is Shared Responsibility

Cannot be delegated solely to IT.

Role Responsibilities:

- Compliance: Define data requirements for monitoring
- IT: Implement controls to meet requirements
- Business: Ensure source system data quality
- Data Governance: Establish enterprise standards
- Internal Audit: Test data quality controls

[SCENARIO] Data quality issues identified. IT says compliance didn't specify requirements. Compliance says IT should ensure data quality. [TRAP] IT is solely responsible for data quality. [right] Compliance must define requirements. IT must implement controls. Shared responsibility.

Must Reconcile Daily or Intra-Day

Longer reconciliation cycles leave gaps undetected.

Reconciliation Controls:

- Source system transaction count vs. monitoring system count (daily)
- Source system dollar volume vs. monitoring system volume (daily)
- Hash total comparisons for data integrity
- Exception report for any discrepancies
- Resolution within 24-48 hours
- Escalation for unresolved exceptions
- Board reporting for material gaps

[!] Daily reconciliation is minimum expectation for most institutions.

FATF Recommendation 15 - New Technologies

Risk assessment must be completed BEFORE product launch.

Required Assessment Components:

- ML/TF vulnerability assessment
- Anonymity features analysis
- Cross-border implications
- Third-party payment capabilities
- Transaction speed and volume potential
- Regulatory compliance review
- Control gap identification
- Remediation plan for identified gaps

[SCENARIO] Bank launches new mobile payment product. AML risk assessment completed 3 months AFTER launch. No issues identified. **[TRAP]** Risk assessment after launch is acceptable if no issues found. **[right]** FATF Rec. 15 requires risk assessment BEFORE launch. Post-launch assessment is violation regardless of findings.

CCO Must Be Active Participant

Compliance cannot be consulted after product design is complete.

Required CCO Involvement:

- Initial product concept review
- Design phase participation
- Control requirement definition
- Risk assessment approval
- Sign-off before launch
- Post-launch monitoring review

[SCENARIO] Product team designs new payment product. Presents completed product to CCO for sign-off. CCO identifies AML control gaps requiring redesign. **[TRAP]** CCO review at completion is sufficient. **[right]** CCO must be involved FROM THE START. Post-design review is insufficient and causes delays.

- ❶ **Risk Assessment:** Inherent vs. residual calculation
- ❷ **Risk Appetite:** Board-approved thresholds
- ❸ **Dynamic Reassessment:** Trigger events
- ❹ **Board Minutes:** Required discussion content
- ❺ **CCO Independence:** Reporting line requirements
- ❻ **CCO Resources:** Adequate staffing mandates
- ❼ **SAR Deadlines:** 30/60 day rule
- ❽ **CTR Deadline:** 15 day rule
- ❾ **314(a) Deadline:** 14 business days
- ❿ **FBAR Deadline:** April 15 / October 15
- ⓫ **Section 311:** Three levels of measures
- ⓬ **Section 313:** Shell bank prohibition
- ⓭ **Section 319(b):** Record production
- ⓮ **314(a) vs. 314(b):** Key differences
- ⓯ **314(b) Opt-In:** Required before sharing
- ⓰ **Vendor Due Diligence:** Pre-engagement requirements
- ⓱ **Right-to-Audit:** Contract requirement
- ⓲ **Independent Testing:** Operational vs. design
- ⓳ **Legal Hold:** Subpoena triggers preservation
- ⓴ **Recordkeeping:** 5 years from specific dates
- ⓵ **Escalation Matrix:** Who approves what
- ⓶ **Keep Open Requests:** Written documentation required
- ⓷ **Section 19:** Disqualified persons
- ⓸ **Mandatory Vacation:** Fraud detection control
- ⓹ **QA Sample Size:** Statistical validity
- ⓺ **Data Governance:** Shared responsibility
- ⓻ **New Product Assessment:** Pre-launch requirement
- ⓼ **CCO Product Involvement:** From start, not end

[CORRECT] These 28 concepts are consistently reported as surprise questions on recent CAMS exams.

- Board minutes with one-line approval only → Insufficient oversight
- CCO reports to Head of Sales → Independence violation
- \$100M client delays SAR → Commercial pressure violation
- 40,000 alert backlog → Inadequate resources
- SAR filed on Day 75 with suspect known at Day 10 → Missed deadline
- 314(b) sharing without opt-in → Tipping-off violation
- Vendor due diligence AFTER contract → Pre-engagement failure
- Audit tests policies only, not transactions → Design-only testing
- Records deleted 5 years from account opening → Premature deletion
- Subpoena received, records deleted next day → Spoliation
- FBI oral keep open request, no documentation → Insufficient
- Funds withheld after account closure → Conversion
- Fraud convict hired without FDIC consent → Section 19 violation
- Employee never takes vacation → Insider risk red flag
- 2% QA sample, no issues found → Statistically invalid
- New product launched, risk assessment 3 months later → Rec. 15 violation
- CCO consulted at product completion → Too late for controls

- **Inherent vs. Residual:** $\text{Residual} = \text{Inherent} \div \text{Control effectiveness factor}$
- **Risk Appetite:** Board must define acceptable residual risk levels
- **Reassessment Triggers:** SAR filing, negative media, ownership change
- **Board Minutes:** Must show discussion, not just approval
- **CCO Independence:** Cannot report to revenue function
- **SAR Deadlines:** 30 days (suspect known) / 60 days (suspect unknown)
- **CTR Deadline:** 15 days from transaction
- **314(a):** MANDATORY, 14 BUSINESS days
- **314(b):** Voluntary, requires OPT-IN before sharing
- **Section 311:** Applies to FOREIGN institutions
- **Section 313:** Shell banks ABSOLUTELY PROHIBITED
- **Vendor Due Diligence:** BEFORE contract, not after
- **Right-to-Audit:** Must be in contract, enforceable
- **Independent Testing:** Must test OPERATIONAL effectiveness
- **Legal Hold:** Automatic upon subpoena receipt
- **Record Retention:** 5 years from specific dates (see table)
- **Keep Open Requests:** Must be IN WRITING
- **Section 19:** FDIC consent required for dishonesty convictions
- **Mandatory Vacation:** Detect fraud, identify red flags
- **New Products:** Risk assessment BEFORE launch
- **CCO Involvement:** From product conception, not after design

[CORRECT] Good luck on your CAMS exam - you've covered the hard Domain C questions now!